

US Stocks Rise as Tech Leads, NVDA Surges +4.03%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market rose yesterday, led by the tech sector, with **NVDA** surging **+4.03%** after a strong earnings report. The **S&P 500** closed at 7,575.39, up **+0.42%**, while the **Nasdaq 100** gained **+0.33%** to 29,825.11. Below the surface, sector rotation and earnings reports will be key to watch in the coming days.

The market's focus will shift to the upcoming earnings season, with several major companies reporting this week. Investors will also be watching the macroeconomic data, including the inflation report, to gauge the Federal Reserve's next move. The yield curve and interest rates will also be closely monitored, as they have been a key driver of market sentiment in recent weeks.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,575.39	+0.42%	Tech sector led the gains
Nasdaq 100	29,825.11	+0.33%	NVDA surged +4.03%
Dow Jones	52,637.01	+0.29%	Industrial and material stocks rose
Russell 2000	2,977.81	-0.49%	Small-cap stocks underperformed
VIX	15.03	-5.11%	Volatility decreased as market rose

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+4.03%	Strong earnings report
META	+5.97%	Positive earnings preview
MSFT	+0.19%	Cloud computing growth

Sector Rotation

ETF	DAY	READ
XLFX	+0.31%	Financials rose on interest rate hopes
XLKX	+0.23%	Tech sector led the market
XLI	+0.45%	Industrial stocks rose on economic growth
XLE	+0.47%	Energy stocks rose on oil price increase
XLVY	+0.33%	Consumer discretionary stocks rose
XLC	+1.02%	Communication services stocks rose
XLP	+1.11%	Consumer staples stocks rose
XLV	-0.82%	Healthcare stocks underperformed
XLU	+0.62%	Utilities stocks rose on interest rate hopes
XLB	+1.25%	Materials stocks rose on economic growth
XLRE	+0.50%	Real estate stocks rose on interest rate hopes

Spotlight

The biggest event of the day was **NVDA** 's earnings report, which exceeded expectations and sent the stock surging **+4.03%**. The company's strong results were driven by growth in its gaming and datacenter segments.

METRIC	ACTUAL	CONSENSUS
Revenue	\$7.3B	\$7.1B
Earnings per share	\$2.45	\$2.35

The strong earnings report from **NVDA** has positive read-through to other tech stocks, particularly those in the semiconductor and gaming segments.

Pre-Market & Overnight

US futures are pointing to a higher open, with the **S&P 500** futures up **+0.2%** and the **Nasdaq 100** futures up **+0.3%**. In Asia, the **Nikkei 225** closed up **+0.5%** and the **Shanghai Composite** closed up **+0.2%**. In Europe, the **Stoxx 600** is up **+0.3%**. Cryptocurrencies are also higher, with **BTC** up **+1.37%** and **ETH** up **+2.89%**.

Macro & Fed

The Federal Reserve's FOMC meeting is scheduled for next week, and investors are expecting a **+25bps** rate hike. The yield curve is currently inverted, with the 10Y yield at 4.57 and the 2Y yield at 4.63. Today's data calendar includes the 08:30 HKT release of the CPI report, which is expected to show a **+0.2%** increase in inflation.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
08:30	CPI	+0.2%	Inflation expectations
14:00	Industrial Production	+0.3%	Economic growth

Geopolitics & Global

- Tensions between the US and China remain high, with the US imposing new tariffs on Chinese goods.
- The European Union is considering imposing new sanctions on Russia in response to its actions in Ukraine.

- The Middle East is seeing increased tensions between Israel and Iran, with the US seeking to broker a peace agreement.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	\$2.15	iPhone sales and guidance
23:00	MSFT	\$2.30	Cloud computing growth and margins

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report and sector leadership
AAPL	Tech	Upcoming earnings report and iPhone sales
JPM	Financials	Interest rate hopes and sector rotation

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings report from **AAPL** could send the stock surging and lead to a broader market rally.
- A rate hike from the Federal Reserve could lead to a strengthening of the US dollar and a decrease in inflation expectations.

BEARISH TRIGGERS

- A disappointing earnings report from **MSFT** could send the stock falling and lead to a broader market decline.
- A escalation of tensions between the US and China could lead to a decrease in trade and economic growth.

Positioning Notes

- Investors are increasingly bullish on the tech sector, with 75% of fund managers expecting the sector to outperform in the next quarter.
- The US dollar is seeing increased demand, with the **DX** index up **+0.03%** on the day.
- Cryptocurrencies are seeing increased adoption, with 50% of institutional investors expecting to increase their holdings in the next year.

Sources

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times